

instances may be found. The surprising thing, rather, is that there have been so many enterprises obtainable which have been valued in the market on this bargain basis. A compilation made in 1957, when the market's level was by no means low, disclosed about 150 of such common stocks. In Table 7-4 we summarize the result of buying, on December 31, 1957, one share of each of the 85 companies in that list for which data appeared in Standard & Poor's *Monthly Stock Guide*, and holding them for two years.

By something of a coincidence, each of the groups advanced in the two years to somewhere in the neighborhood of the aggregate net-current-asset value. The gain for the entire "portfolio" in that period was 75%, against 50% for Standard & Poor's 425 industrials. What is more remarkable is that none of the issues showed significant losses, seven held about even, and 78 showed appreciable gains.

Our experience with this type of investment selection—on a diversified basis—was uniformly good for many years prior to 1957. It can probably be affirmed without hesitation that it constitutes a safe and profitable method of determining and taking advantage of undervalued situations. However, during the general market advance after 1957 the number of such opportunities became extremely limited, and many of those available were showing small operating profits or even losses. The market decline of 1969–70 produced a new crop of these "sub-working-capital" stocks. We discuss this group in Chapter 15, on stock selection for the enterprising investor.

TABLE 7-4 Profit Experience of Undervalued Stocks, 1957–1959

<i>Location of Market</i>	<i>Number of Companies</i>	<i>Aggregate Net Current Assets Per Share</i>	<i>Aggregate Price Dec. 1957</i>	<i>Aggregate Price Dec. 1959</i>
New York S.E.	35	\$ 748	\$ 419	\$ 838
American S.E.	25	495	289	492
Midwest S.E.	5	163	87	141
Over the counter	20	425	288	433
Total	85	\$1,831	\$1,083	\$1,904

BARGAIN-ISSUE PATTERN IN SECONDARY COMPANIES. We have defined a secondary company as one that is not a leader in a fairly important industry. Thus it is usually one of the smaller concerns in its field, but it may equally